

Audits of Less Complex Entities – Evaluation of Requirements in ISA 600 (Revised)¹

This paper lists the requirements included in International Standard on Auditing (ISA) 600 (Revised) and illustrates the Task Force's initial evaluation regarding whether each requirement is relevant for an audit of group financial statements of Less Complex Entities (LCE) and if they should be included in the International Standard on Auditing for Audits of Financial Statements of Less Complex Entities (ISA for LCE). This evaluation formed the basis of the initial draft of Part 10, Audits of Group Financial Statements at **Agenda Item 5-D**.

Certain requirements in the table below have not been included in Part 10 because the requirement is addressed through another Part (with reference to the relevant requirement(s) in that Part) (also see **Agenda Item 5**, paragraph 66). As a result, the LCE Task Force (the Task Force) will consider what revisions may need to be made in the other Parts of the draft standard in order to reflect the inclusion of group audits (also see **Agenda Item 5**, paragraph 70).

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
Introduction					
<i>Scope of this ISA</i>					
1	The International Standards on Auditing (ISAs) apply to an audit of group financial statements (a group audit). This ISA deals with special considerations that apply to a group audit, including in those circumstances when component auditors are involved. The requirements and guidance in this ISA refer to, or expand on, the application of other relevant ISAs to a group audit, in particular ISA	Yes	Yes	Introductory box	Incorporated into introductory box and adapted as needed (e.g., took out references to ISAs and instead referred to relevant parts).

¹ ISA 600 (Revised), *Special Considerations-Audits of Group Financial Statements (Including the Work of Component Auditors)*

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IAASB Main Agenda (September 2022)

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
	220 (Revised), ² ISA 230, ³ ISA 300, ⁴ ISA 315 (Revised 2019), ⁵ and ISA 330. ⁶ (Ref: Para. A1–A2)				
2	Group financial statements include the financial information of more than one entity or business unit through a consolidation process, as described in paragraph 14(k). The term consolidation process as used in this ISA refers not only to the preparation of consolidated financial statements in accordance with the applicable financial reporting framework, but also to the presentation of combined financial statements, and to the aggregation of the financial information of entities or business units such as branches or divisions. (Ref: Para. A3–A5, A27)	Yes	Yes	Introductory box	Incorporated into introductory box.
3	As explained in ISA 220 (Revised), ⁷ this ISA, adapted as necessary in the circumstances, may also be useful in an audit of financial statements other than a group audit when the engagement team includes individuals from another firm. For example, this ISA may be useful when involving such an individual to attend a physical inventory count, inspect property, plant and equipment, or perform audit procedures at a shared service center at a remote location.	Yes	Yes	Introductory box	Incorporated into introductory box. Removed reference to shared service center given would be rare for a less complex group.

² ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

³ ISA 230, *Audit Documentation*

⁴ ISA 300, *Planning an Audit of Financial Statements*

⁵ ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

⁶ ISA 330, *The Auditor's Responses to Assessed Risks*

⁷ ISA 220 (Revised), paragraph A1

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<i>Groups and Components</i>					
4	A group may be organized in various ways. For example, a group may be organized by legal or other entities (e.g., a parent and one or more subsidiaries, joint ventures, or investments accounted for by the equity method). Alternatively, the group may be organized by geography, by other economic units (including branches or divisions), or by functions or business activities. In this ISA, these different forms of organization are collectively referred to as “entities or business units.” (Ref: Para. A6)	Yes	Yes	Introductory box	Incorporated into introductory box.
5	The group auditor determines an appropriate approach to planning and performing audit procedures to respond to the assessed risks of material misstatement of the group financial statements. For this purpose, the group auditor uses professional judgment in determining the components at which audit work will be performed. This determination is based on the group auditor’s understanding of the group and its environment, and other factors such as the ability to perform audit procedures centrally, the presence of shared service centers, or the existence of common information systems and internal control. (Ref: Para. A7–A9)	Yes	Yes	Essential Explanatory Material (EEM) under 10.2.1.	• Did not include first sentence since it is addressed in Part 1 of ISA for LCE (e.g., paragraph 1.4.4. of ED-ISA for LCE⁸) • Incorporated later content as EEM. • Removed reference to shared service centers as described in paragraph 3 above.

⁸ Exposure Draft of the Proposed International Standard on Auditing for Audits of Financial Statements of Less Complex Entities (ED-ISA for LCE)

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<i>Involvement of Component Auditors</i>					
6	ISA 220 (Revised) ⁹ requires the engagement partner to determine that sufficient and appropriate resources to perform the engagement are assigned or made available to the engagement team in a timely manner. In a group audit, such resources may include component auditors. Therefore, this ISA requires the group auditor to determine the nature, timing and extent of involvement of component auditors.	Yes (if Component Auditors (CA) are included)	Yes	EEM under 10.2.1.	Matter addressed in Part 3 (paragraph 3.2.7. of ED-ISA for LCE) however clarification that resources include component auditors incorporated into EEM given importance specific to group audits.
7	The group auditor may involve component auditors to provide information, or to perform audit work, to fulfill the requirements of this ISA. Component auditors may have greater experience with, and a more in-depth knowledge of, the components and their environments (including local laws and regulations, business practices, language, and culture) than the group auditor. Accordingly, component auditors can be, and often are, involved in all phases of the group audit. (Ref: Para. A10–A11)	Yes (if CA are included)	Yes	EEM under 10.2.1.	Matters expected to be relevant to a less complex group have been incorporated as EEM.
8	Audit risk is a function of the risks of material misstatement and detection risk. ¹⁰ Detection risk in a group audit includes the risk that a component auditor may not detect a misstatement in the financial information of a component that could cause a material misstatement of the group financial statements, and that the group auditor may not detect this misstatement. Accordingly, this ISA requires sufficient and appropriate involvement by the group engagement partner or group auditor, as applicable, in the work of	Yes (if CA are included)	Yes	EEM under 10.7.	Incorporated as EEM.

⁹ ISA 220 (Revised), paragraph 25

¹⁰ ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*, paragraph A34

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	component auditors and emphasizes the importance of two-way communication between the group auditor and component auditors. In addition, this ISA explains the matters that the group auditor takes into account when determining the nature, timing and extent of the direction and supervision of component auditors and the review of their work. (Ref: Para. A12–A13)				
<i>Professional Skepticism</i>					
9	In accordance with ISA 200, ¹¹ the engagement team is required to plan and perform the group audit with professional skepticism and to exercise professional judgment. The appropriate exercise of professional skepticism may be demonstrated through the actions and communications of the engagement team, including emphasizing the importance of each engagement team member exercising professional skepticism throughout the group audit. Such actions and communications may include specific steps to mitigate impediments that may impair the appropriate exercise of professional skepticism. (Ref: Para. A14–A18)	Yes	No	-	Matter addressed in Part 1 (paragraphs 1.4.4.–1.4.6. of ED-ISA for LCE).
<i>Scalability</i>					
10	This ISA is intended for all group audits, regardless of size or complexity. However, the requirements of this ISA are intended to be applied in the context of the nature and circumstances of each group audit. For example, when a group audit is carried out entirely by the group auditor, some requirements in this ISA are not relevant because they are conditional on the involvement of component auditors. This may be the case when the group auditor is able to perform audit procedures centrally or is able to perform	Yes	No	-	This was included in ISA 600 (Revised) to provide LCE groups guidance on scaling the ISAs. Not deemed necessary to be included in the ISA for LCE.

¹¹ ISA 200, paragraphs 15–16

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	procedures at the components without involving component auditors. The guidance in paragraphs A119 and A120 also may be helpful in applying this ISA in these circumstances.				
<i>Responsibilities of the Group Engagement Partner and Group Auditor</i>					
11	The group engagement partner remains ultimately responsible, and therefore accountable, for compliance with the requirements of this ISA. The term “the group engagement partner shall take responsibility for...” or “the group auditor shall take responsibility for...” is used for those requirements when the group engagement partner or group auditor, respectively, is permitted to assign the design or performance of procedures, tasks or actions to other appropriately skilled or suitably experienced members of the engagement team, including component auditors. For other requirements, this ISA expressly intends that the requirement or responsibility be fulfilled by the group engagement partner or group auditor, as applicable, and the group engagement partner or group auditor may obtain information from the firm or other members of the engagement team. (Ref: Para. A29)	Yes	Yes	Introductory box	The first sentence was included in the introductory box. Remaining paragraph excluded as the wording “engagement partner is responsible for” is already used in the ISA for LCE and not explained.
Effective Date					
12	This ISA is effective for audits of group financial statements for periods beginning on or after December 15, 2023.	No	N/A	-	Effective date based on full ISA for LCE.
Objectives					
13	The objectives of the auditor are to: (a) With respect to the acceptance and continuance of the group audit engagement, determine whether sufficient appropriate audit evidence can reasonably be expected to	Yes	Yes	10.1.1.	Incorporated into objectives for Part 10 but excluded: (a) as it refers to ISA 600 (Revised)

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	be obtained to provide a basis for forming an opinion on the group financial statements; (b) Identify and assess the risks of material misstatement of the group financial statements, whether due to fraud or error, and plan and perform further audit procedures to appropriately respond to those assessed risks; (c) Be sufficiently and appropriately involved in the work of component auditors throughout the group audit, including communicating clearly about the scope and timing of their work, and evaluating the results of that work; and (d) Evaluate whether sufficient appropriate audit evidence has been obtained from the audit procedures performed, including with respect to the work performed by component auditors, as a basis for forming an opinion on the group financial statements.				paragraph 17 which has not been included in Part. (d) as it refers to ISA 600 (Revised) paragraphs 51 & 52 which have not been included in Part as already addressed by other Parts.
Definitions					
14	For purposes of the ISAs, the following terms have the meanings attributed below: (a) Aggregation risk – The probability that the aggregate of uncorrected and undetected misstatements exceeds materiality for the financial statements as a whole. (Ref: Para. A19) (b) Component – An entity, business unit, function or business activity, or some combination thereof, determined by the group auditor for purposes of planning and performing audit procedures in a group audit. (Ref: Para. A20)	Yes	No	-	Definitions included in glossary for the ISA for LCE rather than in individual Parts.

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	(c) Component auditor – An auditor who performs audit work related to a component for purposes of the group audit. A component auditor is a part of the engagement team¹² for a group audit. (Ref: Para. A21–A23) (d) Component management – Management responsible for a component. (Ref: Para. A24) (e) Component performance materiality – An amount set by the group auditor to reduce aggregation risk to an appropriately low level for purposes of planning and performing audit procedures in relation to a component. (f) Group – A reporting entity for which group financial statements are prepared. (g) Group audit – The audit of group financial statements. (h) Group auditor – The group engagement partner and members of the engagement team other than component auditors. The group auditor is responsible for: (i) Establishing the overall group audit strategy and group audit plan; (ii) Directing and supervising component auditors and reviewing their work; (iii) Evaluating the conclusions drawn from the audit evidence obtained as the basis for forming an opinion on the group financial statements. (i) Group audit opinion – The audit opinion on the group financial statements.				

¹² ISA 220 (Revised), paragraph 12(d)

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	(j) Group engagement partner – The engagement partner¹³ who is responsible for the group audit. (Ref: Para. A25) (k) Group financial statements – Financial statements that include the financial information of more than one entity or business unit through a consolidation process. For purposes of this ISA, a consolidation process includes: (Ref: Para. A26–A28) (i) Consolidation, proportionate consolidation, or an equity method of accounting; (ii) The presentation in combined financial statements of the financial information of entities or business units that have no parent but are under common control or common management; or (iii) The aggregation of the financial information of entities or business units such as branches or divisions. (l) Group management – Management responsible for the preparation of the group financial statements. (m) Group performance materiality – Performance materiality¹⁴ in relation to the group financial statements as a whole, as determined by the group auditor.				
15	Reference in this ISA to “the applicable financial reporting framework” means the financial reporting framework that applies to the group financial statements.	Yes	No	-	Description will be clarified in glossary for the ISA for LCE.

¹³ ISA 220 (Revised), paragraph 12(a)

¹⁴ ISA 320, *Materiality in Planning and Performing an Audit*, paragraphs 9 and 11

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Requirements					
Leadership Responsibilities for Managing and Achieving Quality on a Group Audit					
16	In applying ISA 220 (Revised),¹⁵ the group engagement partner is required to take overall responsibility for managing and achieving quality on the group audit engagement. In doing so, the group engagement partner shall: (Ref: Para. A29–A30) (a) Take responsibility for creating an environment for the group audit engagement that emphasizes the expected behavior of engagement team members. (Ref: Para. A31) (b) Be sufficiently and appropriately involved throughout the group audit engagement, including in the work of component auditors, such that the group engagement partner has the basis for determining whether the significant judgments made, and the conclusions reached, are appropriate given the nature and circumstances of the group audit engagement.	Yes	No	-	Requirement addressed through Part 3 (paragraphs 3.2.1.–3.2.2. of ED-ISA for LCE).
Acceptance and Continuance					
17	Before accepting or continuing the group audit engagement, the group engagement partner shall determine whether sufficient appropriate audit evidence can reasonably be expected to be obtained to provide a basis for forming an opinion on the group financial statements. (Ref: Para. A32–A35)	Yes	No	-	Not included since this matter would effectively already be addressed through the auditor determining whether the ISA for LCE is appropriate for use for the group audit engagement.
18	If, after the acceptance or continuance of the group audit engagement, the group engagement partner concludes that	Yes	No	-	

¹⁵ ISA 220 (Revised), paragraph 13

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	sufficient appropriate audit evidence cannot be obtained, the group engagement partner shall consider the possible effects on the group audit. (Ref: Para. A36)				
<i>Terms of the Engagement</i>					
19	In applying ISA 210,¹⁶ the group auditor shall obtain the agreement of group management that it acknowledges and understands its responsibility to provide the engagement team with: (Ref: Para. A37) (a) Access to all information of which group management is aware that is relevant to the preparation of the group financial statements such as records, documentation and other matters; (b) Additional information that the engagement team may request from group management or component management for the purpose of the group audit; and (c) Unrestricted access to persons within the group from whom the engagement team determines it necessary to obtain audit evidence.	Yes	No	-	Requirement addressed in Part 4 (paragraph 4.3.1. of ED-ISA for LCE).
<i>Restrictions on Access to Information or People Outside the Control of Group Management</i>					
20	If the group engagement partner concludes that group management cannot provide the engagement team with access to information or unrestricted access to persons within the group due to restrictions that are outside the control of group management, the group engagement partner shall consider the possible effects on the group audit. (Ref: Para. A38–A46)	No	No	-	Not incorporated as this is an indicator of complexity per proposed Authority (Agenda Item 5-A).

¹⁶ ISA 210, *Agreeing the Terms of Audit Engagements*, paragraphs 6(b) and 8(b)

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<i>Restrictions on Access to Information of People Imposed by Group Management</i>					
21	If the group engagement partner concludes that: (Ref: Para. A43–A46) (a) It will not be possible for the group auditor to obtain sufficient appropriate audit evidence due to restrictions imposed by group management; and (b) The possible effect of this limitation will result in a disclaimer of opinion on the group financial statements, the group engagement partner shall either: (i) In the case of an initial engagement, not accept the engagement, or, in the case of a recurring engagement, withdraw from the engagement, when withdrawal is possible under applicable law or regulation; or (ii) When law or regulation prohibit an auditor from declining an engagement or when withdrawal from an engagement is not otherwise possible, having performed the audit of the group financial statements to the extent possible, disclaim an opinion on the group financial statements.	No	No	-	Not incorporated as this is an indicator of complexity per proposed Authority (Agenda Item 5-A).
Overall Group Audit Strategy and Group Audit Plan					
22	In applying ISA 300, ¹⁷ the group auditor shall establish, and update as necessary, an overall group audit strategy and group	Yes	Yes	10.2.1.	Updated ISA reference to relevant Part in the ISA for LCE. Updated for approach to Part 5.2 which did not use

¹⁷ ISA 300, paragraphs 7–10A

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	audit plan. In doing so, the group auditor shall determine: (Ref: Para. A47–A50) (a) The components at which audit work will be performed; and (Ref: Para. A51) (b) The resources needed to perform the group audit engagement, including the nature, timing and extent to which component auditors are to be involved. (Ref: Para. A52–A56)				the term 'audit strategy and plan' but instead focused on the outcome (i.e., determining the scope, timing, and direction of the audit).
<i>Considerations When Component Auditors Are Involved</i>					
23	In establishing the overall group audit strategy and group audit plan, the group engagement partner shall evaluate whether the group auditor will be able to be sufficiently and appropriately involved in the work of the component auditor. (Ref: Para. A57)	Yes (if CA are included)	Yes	10.7.1.	Combined with paragraph 24.
24	As part of the evaluation in paragraph 23, the group auditor shall request the component auditor to confirm that the component auditor will cooperate with the group auditor, including whether the component auditor will perform the work requested by the group auditor. (Ref: Para. A58)	Yes (if CA are included)	Yes	10.7.1.	Combined with paragraph 23 above.
<i>Relevant Ethical Requirements, Including Those Related to Independence</i>					
25	In applying ISA 220 (Revised), ¹⁸ the group engagement partner shall take responsibility for: (Ref: Para. A59–A60, A87) (a) Component auditors having been made aware of relevant ethical requirements that are applicable given the nature and circumstances of the group audit engagement; and	Yes (if CA are included)	Yes	10.7.2.	Part 3 (paragraph 3.2.5. of ED-ISA for LCE) addresses this for entity engagement team (a component auditor is a part of the engagement team) however deemed

¹⁸ ISA 220 (Revised), paragraph 17

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	(b) Confirming whether the component auditors understand and will comply with the relevant ethical requirements, including those related to independence, that apply to the group audit engagement.				significant enough to include given importance and effect on communication with component auditors. Updated ISA reference to relevant Part in the ISA for LCE.
Engagement Resources					
26	In applying ISA 220 (Revised),¹⁹ the group engagement partner shall: (Ref: Para. A61–A68) (a) Determine that component auditors have the appropriate competence and capabilities, including sufficient time, to perform the assigned audit procedures at the component; and (b) If information about the results of the monitoring and remediation process or external inspections related to the component auditor has been provided by the group auditor's firm or has otherwise been made available to the group engagement partner, determine the relevance of such information to the group auditor's determination in paragraph 26(a).	Yes (if CA are included)	No	-	- Did not include (a) since it is addressed in Part 3 (paragraph 3.2.7. of ED-ISA for LCE) (as part of engagement team). Requirements where there is concern regarding competence and capabilities of component auditors are included as described in paragraph 27 below. - Did not include (b) given it would be likely not to be relevant for typical less complex

¹⁹ ISA 220 (Revised), paragraphs 25–26

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
					group and general concepts already included in ISA 220 (Revised).
27	The group auditor shall obtain sufficient appropriate audit evidence relating to the work to be performed at the component without involving the component auditor if: (a) The component auditor does not comply with the relevant ethical requirements, including those related to independence, that apply to the group audit engagement;²⁰ or (Ref: Para. A69–A70) (b) The group engagement partner has serious concerns about the matters in paragraphs 23–26. (Ref: Para. A71)	Yes (if CA are included)	Yes	10.7.3.	Updated to reflect reference to requirements that were included in Part. As paragraph 26 has not been included, included basic description on competence and capabilities of the component auditors.
Engagement Performance					
28	In applying ISA 220 (Revised),²¹ the group engagement partner shall take responsibility for the nature, timing and extent of direction and supervision of component auditors and the review of their work, taking into account: (Ref: Para. A72–A77) (a) Areas of higher assessed risks of material misstatement of the group financial statements, or significant risks identified in accordance with ISA 315 (Revised 2019); and (b) Areas in the audit of the group financial statements that involve significant judgment.	Yes (if CA are included)	No	-	Consistent with engagement partners responsibilities to determine nature, timing and extent of direction, supervision and review work in an entity audit (as described in Part 3).

²⁰ ISA 200, paragraph 14

²¹ ISA 220 (Revised), paragraph 29

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Communications with Component Auditors					
29	The group auditor shall communicate with component auditors about their respective responsibilities and the group auditor's expectations, including an expectation that communications between the group auditor and component auditors take place at appropriate times throughout the group audit. (Ref: Para. A78–A87)	Yes (if CA are included)	Yes	10.7.8.A.	Presented all communication requirements together (proposed table format).
Understanding the Group and Its Environment, the Applicable Financial Reporting Framework and the Group's System of Internal Control					
30	In applying ISA 315 (Revised 2019),²² the group auditor shall take responsibility for obtaining an understanding of the following: (Ref: Para. A88–A92) (a) The group and its environment, including: (Ref: Para. A93–A95) (i) The group's organizational structure and its business model, including: a. The locations in which the group has its operations or activities; b. The nature of the group's operations or activities and the extent to which they are similar across the group; and c. The extent to which the group's business model integrates the use of information technology (IT); (ii) Regulatory factors impacting the entities and business	Yes	Yes	10.3.1.	- Updated ISA reference to relevant Part in the ISA for LCE. - Updated to keep the core outcome of the requirement to understand the group (i.e., organization structure and business model (a)(i)), system of internal control including consolidation process and consolidation adjustments ((c)(iii)).

²² ISA 315 (Revised 2019), paragraphs 19–27

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	units in the group; and (iii) The measures used internally and externally to assess the financial performance of the entities or business units; (b) The applicable financial reporting framework and the consistency of accounting policies and practices across the group; and (c) The group's system of internal control, including: (i) The nature and extent of commonality of controls; (Ref: Para. A96–A99, A102) (ii) Whether, and if so, how, the group centralizes activities relevant to financial reporting; (Ref: Para. A100–A102) (iii) The consolidation process used by the group, including sub-consolidations, if any, and consolidation adjustments; and (iv) How group management communicates significant matters that support the preparation of the group financial statements and related financial reporting responsibilities in the information system and other components of the group's system of internal control to management of entities or business units. (Ref: Para. A103–A105)				- Did not include requirements addressed in Part 6 (paragraph 6.3.1 and 6.3.3 of ED-ISA for LCE): regulatory factors ((a)(ii)), measures to assess financial performance ((a)(iii)) and applicable financial reporting framework (start of (b)). - Did not include consistency of accounting policies and practices across the group (remaining part of (b)) as application of same accounting policies is expected per proposed Authority (Agenda Item 5-A). - Did not include commonality of controls ((c)(i)), centralized activities relevant to financial

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					reporting ((c)(ii)) and communication on significant matters ((c)(iv)), as complex characteristics (i.e., group structure and activities, consolidation process and financial reporting) are not expected for less complex group per proposed Authority (Agenda Item 5-A). The Task Force will consider if these should be included as EEM.
<i>Considerations When Component Auditors Are Involved</i>					
31	The group auditor shall communicate to component auditors on a timely basis: (Ref: Para. A106) (a) Matters that the group auditor determines to be relevant to the component auditor's design or performance of risk assessment procedures for purposes of the group audit; (b) In applying ISA 550,²³ related party relationships or transactions identified by group management, and any other	Yes (if CA are included)	Yes	10.7.8.B.	Presented all communication requirements together (proposed table format).

²³ ISA 550, *Related Parties*, paragraph 17

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	related parties of which the group auditor is aware, that are relevant to the work of the component auditor; and (Ref: Para. A107) (c) In applying ISA 570 (Revised),²⁴ events or conditions identified by group management or the group auditor that may cast significant doubt on the group's ability to continue as a going concern that are relevant to the work of the component auditor.				
32	The group auditor shall request component auditors to communicate on a timely basis: (a) Matters related to the financial information of the component that the component auditor determines to be relevant to the identification and assessment of the risks of material misstatement of the group financial statements, whether due to fraud or error; (b) Related party relationships not previously identified by group management or the group auditor; and (Ref: Para. A107) (c) Any events or conditions identified by the component auditor that may cast significant doubt on the group's ability to continue as a going concern.	Yes (if CA are included)	Yes	10.7.9.A.	Presented all communication requirements together (proposed table format).
Identifying and Assessing the Risks of Material Misstatement					
33	In applying ISA 315 (Revised 2019), ²⁵ based on the understanding obtained in paragraph 30, the group auditor shall take responsibility for the identification and assessment of the risks of	Yes	Yes	10.4.1.	Updated ISA reference to relevant Part in the ISA for LCE.

²⁴ ISA 570 (Revised), *Going Concern*

²⁵ ISA 315 (Revised 2019), paragraphs 28–34

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	material misstatement of the group financial statements, including with respect to the consolidation process. (Ref: Para. A108–A113)				
<i>Considerations When Component Auditors Are Involved</i>					
34	In applying ISA 315 (Revised 2019), ²⁶ the group auditor shall evaluate whether the audit evidence obtained from the risk assessment procedures performed by the group auditor and component auditors provides an appropriate basis for the identification and assessment of the risks of material misstatement of the group financial statements. (Ref: Para. A114–A115)	Yes (if CA are included)	Yes	10.7.4.	Updated ISA reference to relevant Part in the ISA for LCE.
Materiality					
35	In applying ISA 320 ²⁷ and ISA 450, ²⁸ when classes of transactions, account balances or disclosures in the group financial statements are disaggregated across components, for purposes of planning and performing audit procedures, the group auditor shall determine: (a) Component performance materiality. To address aggregation risk, such amount shall be lower than group performance materiality. (Ref: Para. A116–A120) (b) The threshold above which misstatements identified in the component financial information are to be communicated to the group auditor. Such threshold shall not exceed the amount regarded as clearly trivial to the group financial statements. (Ref: Para. A121)	Yes	Yes	10.5.1.	Updated ISA reference to relevant Part in the ISA for LCE.

²⁶ ISA 315 (Revised 2019), paragraph 35

²⁷ ISA 320, paragraph 11

²⁸ ISA 450, *Evaluation of Misstatements Identified During the Audit*, paragraph 5

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<i>Considerations When Component Auditors Are Involved</i>					
36	The group auditor shall communicate to the component auditor the amounts determined in accordance with paragraph 35. (Ref: Para: A122–A123)	Yes (if CA are included)	Yes	10.7.8.C.	Presented all communication requirements together (proposed table format).
Responding to the Assessed Risks of Material Misstatement					
37	In applying ISA 330, ²⁹ the group auditor shall take responsibility for the nature, timing and extent of further audit procedures to be performed, including determining the components at which to perform further audit procedures and the nature, timing and extent of the work to be performed at those components. (Ref: Para. A124–A139)	Yes	Yes	10.6.1.	Updated ISA reference to relevant Part in the ISA for LCE.
<i>Consolidation Process</i>					
38	The group auditor shall take responsibility for designing and performing further audit procedures to respond to the assessed risks of material misstatement of the group financial statements arising from the consolidation process. This shall include: (Ref: Para. A140) (a) Evaluating whether all entities and business units have been included in the group financial statements as required by the applicable financial reporting framework and, if applicable, for designing and performing further audit procedures on sub-consolidations; (b) Evaluating the appropriateness, completeness and accuracy of consolidation adjustments and reclassifications; (Ref:	Yes	Yes	10.6.2.	Removed reference to sub-consolidations as not expected to have complex sub consolidations as per proposed Authority (Agenda Item 5-A).

²⁹ ISA 330, paragraphs 6–7

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
	Para. A141) (c) Evaluating whether management's judgments made in the consolidation process give rise to indicators of possible management bias; and (d) Responding to assessed risks of material misstatement due to fraud arising from the consolidation process.				
39	If the financial information of an entity or business unit has not been prepared in accordance with the same accounting policies applied to the group financial statements, the group auditor shall evaluate whether the financial information has been appropriately adjusted for purposes of preparing and presenting the group financial statements.	No	No	-	Not incorporated as this is an indicator of complexity per proposed Authority (Agenda Item 5-A) .
40	If the group financial statements include the financial information of an entity or business unit with a financial reporting period-end that differs from that of the group, the group auditor shall take responsibility for evaluating whether appropriate adjustments have been made to that financial information in accordance with the applicable financial reporting framework.	No	No	-	Not incorporated as this is an indicator of complexity per proposed Authority (Agenda Item 5-A) .
<i>Considerations When Component Auditors Are Involved</i>					
41	When the group auditor involves component auditors in the design or performance of further audit procedures, the group auditor shall communicate with the component auditor about matters that the group auditor or component auditor determine to be relevant to the design of responses to the assessed risks of material misstatement of the group financial statements.	Yes (if CA are included)	Yes	10.7.8.D.	Presented all communication requirements together (proposed table format).

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
42	For areas of higher assessed risks of material misstatement of the group financial statements, or significant risks identified in accordance with ISA 315 (Revised 2019), on which a component auditor is determining the further audit procedures to be performed, the group auditor shall evaluate the appropriateness of the design and performance of those further audit procedures. (Ref: Para. A142)	Yes (if CA are included)	No	-	Requirement addressed in Part 6 and 7 (responsibilities relating to risks of material misstatement and significant risks in Part 6 and 7 of ED-ISA for LCE).
43	When component auditors perform further audit procedures on the consolidation process, including on sub-consolidations, the group auditor shall determine the nature and extent of direction and supervision of component auditors and the review of their work. (Ref: Para. A143)	Yes (if CA are included)	No	-	Requirement addressed in Part 3 (paragraph 3.2.4 of ED-ISA for LCE).
44	The group auditor shall determine whether the financial information identified in the component auditor's communication (see paragraph 45(a)) is the financial information that is incorporated in the group financial statements.	Yes (if CA are included)	Yes	10.7.10.	
Evaluating the Component Auditor's Communications and the Adequacy of Their Work					
45	The group auditor shall request the component auditor to communicate matters relevant to the group auditor's conclusion with regard to the group audit. Such communication shall include: (Ref: Para. A144) (a) Identification of the financial information on which the component auditor has been requested to perform audit procedures; (b) Whether the component auditor has performed the work requested by the group auditor; (c) Whether the component auditor has complied with the	Yes (if CA are included)	Yes	10.7.9.B.	- Presented all communication requirements together (proposed table format). - Did not include areas not likely to be relevant for less complex group (e.g., other significant

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
	relevant ethical requirements, including those related to independence, that apply to the group audit engagement; (d) Information about instances of non-compliance with laws or regulations; (e) Corrected and uncorrected misstatements of the component financial information identified by the component auditor and that are above the threshold communicated by the group auditor in accordance with paragraph 36; (Ref: Para. A145) (f) Indicators of possible management bias; (g) Description of any deficiencies in the system of internal control identified in connection with the audit procedures performed; (h) Fraud or suspected fraud involving component management, employees who have significant roles in the group's system of internal control at the component or others where the fraud resulted in a material misstatement of the component financial information; (i) Other significant matters that the component auditor communicated or expects to communicate to component management or those charged with governance of the component; (j) Any other matters that may be relevant to the group audit, or that the component auditor determines are appropriate to draw to the attention of the group auditor, including exceptions noted in the written representations that the component auditor requested from component management; and				matters communicated (i) and exceptions in the written representations requested by component auditors (j)).

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
	(k) The component auditor's overall findings or conclusions. (Ref: Para. A146)				
46	The group auditor shall: (a) Discuss significant matters arising from communications with the component auditor, including those in accordance with paragraph 45, with the component auditor, component management or group management, as appropriate; and (b) Evaluate whether communications with the component auditor are adequate for the group auditor's purposes. If such communications are not adequate for the group auditor's purposes, the group auditor shall consider the implications for the group audit. (Ref: Para. A147)	Yes (if CA are included)	Yes	10.7.11.	Did not include the reference to paragraph 45 since all the communications are in one place therefore cross reference not needed.
47	The group auditor shall determine whether, and the extent to which, it is necessary to review additional component auditor audit documentation. In making this determination, the group auditor shall consider: (Ref: Para. A148–A149) (a) The nature, timing and extent of the work performed by the component auditor; (b) The competence and capabilities of the component auditor as determined in accordance with paragraph 26(a); and (c) The direction and supervision of the component auditor and review of their work.	Yes (if CA are included)	Yes	10.7.5.	Paragraph 26(a) is not included in the Part therefore the reference at (b) has been removed.
48	If the group auditor concludes that the work of the component auditor is not adequate for the group auditor's purposes, the group auditor shall determine what additional audit procedures are to be performed, and whether they are to be performed by a component auditor or by the group auditor.	Yes (if CA are included)	Yes	10.7.6.	

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
Subsequent Events					
49	In applying ISA 560, ³⁰ the group auditor shall take responsibility for performing procedures, including, as appropriate, requesting component auditors to perform procedures, designed to identify events that may require adjustment of, or disclosure in, the group financial statements. (Ref: Para. A150)	Yes	No	-	Requirement addressed in Part 8 (paragraph 8.4.1. of ED-ISA for LCE).
<i>Considerations When Component Auditors Are Involved</i>					
50	The group auditor shall request the component auditors to notify the group auditor if they become aware of subsequent events that may require adjustment of, or disclosure in, the group financial statements. (Ref: Para. A150)	Yes (if CA are included)	Yes	10.7.9.C.	Presented all communication requirements together (proposed table format).
Evaluating the Sufficiency and Appropriateness of Audit Evidence Obtained					
51	In applying ISA 330, ³¹ the group auditor shall evaluate whether sufficient appropriate audit evidence has been obtained from the audit procedures performed, including from the work performed by component auditors, on which to base the group audit opinion. (Ref: Para. A151–A155)	Yes	No	-	Requirement addressed in Part 9 (paragraph 9.2.2. of ED-ISA for LCE).
52	The group engagement partner shall evaluate the effect on the group audit opinion of any uncorrected misstatements (whether identified by the group auditor or communicated by component auditors) and any instances when there has been an inability to obtain sufficient appropriate audit evidence. (Ref: Para. A156)	Yes	No	-	Requirement addressed in Part 9 (paragraph 9.2.2. of ED-ISA for LCE).

³⁰ ISA 560, *Subsequent Events*, paragraphs 6–7

³¹ ISA 330, paragraph 26

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
Auditor's Report					
53	The auditor's report on the group financial statements shall not refer to a component auditor, unless required by law or regulation to include such reference. If such reference is required by law or regulation, the auditor's report shall indicate that the reference does not diminish the group engagement partner's or the group engagement partner's firm's responsibility for the group audit opinion. (Ref: Para. A157–A158)	Yes (If CA are included)	Yes	10.7.7.	Last sentence is not included since reference to a component auditor being required by law or regulation deemed to be rare and an indicator of complexity.
Communication with Group Management and Those Charged with Governance of the Group					
<i>Communication with Group Management</i>					
54	The group auditor shall communicate with group management an overview of the planned scope and timing of the audit, including an overview of the work to be performed at components of the group. (Ref: Para. A159)	Yes	No	-	Not deemed necessary to include given expected complexity of LCE group reporting structures.
55	If fraud has been identified by the group auditor or brought to its attention by a component auditor (see paragraph 45(h)), or information indicates that a fraud may exist, the group auditor shall communicate this on a timely basis to the appropriate level of group management in order to inform those with primary responsibility for the prevention and detection of fraud of matters relevant to their responsibilities. (Ref: Para. A160)	Yes	Yes	10.8.1.A.	- Included since Part 1 (paragraph 1.8.6 of ED-ISA for LCE) addresses fraud identified by the auditor but does not describe fraud brought to attention by a component auditor. - Presented all communication requirements together

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
					(proposed table format). Did not include the reference to paragraph 45 since all the communications are in one place therefore cross-reference not needed.
56	A component auditor may be required by statute, regulation or other reasons to express an audit opinion on the financial statements of an entity or business unit that forms part of the group. In that case, the group auditor shall request group management to inform management of the entity or business unit of any matter of which the group auditor becomes aware that may be significant to the financial statements of the entity or business unit, but of which management of the entity or business unit may be unaware. If group management refuses to communicate the matter to management of the entity or business unit, the group auditor shall discuss the matter with those charged with governance of the group. If the matter remains unresolved, the group auditor, subject to legal and professional confidentiality considerations, shall consider whether to advise the component auditor not to issue the auditor's report on the financial statements of the entity or business unit until the matter is resolved. (Ref: Para. A161–A162)	No	No	-	While statutory audits of components may be relevant, it is unlikely that management of the entity or business unit may be unaware of a matter that may be significant to the financial statements of the entity or business unit in a less complex group audit.

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
<i>Communication with Those Charged with Governance of the Group</i>					
57	The group auditor shall communicate the following matters with those charged with governance of the group, in addition to those required by ISA 260 (Revised)³² and other ISAs: (Ref: Para. A163) (a) An overview of the work to be performed at the components of the group and the nature of the group auditor's planned involvement in the work to be performed by component auditors. (Ref: Para. A164) (b) Instances when the group auditor's review of the work of a component auditor gave rise to a concern about the quality of that component auditor's work, and how the group auditor addressed the concern. (c) Any limitations on the scope of the group audit, for example, significant matters related to restrictions on access to people or information. (d) Fraud or suspected fraud involving group management, component management, employees who have significant roles in the group's system of internal control or others when the fraud resulted in a material misstatement of the group financial statements.	Yes	Yes	10.8.1.B.	- Presented all communication requirements together (proposed table format). - Did not include (c) as restrictions around access to people or information is considered an indicator for complexity in the Authority and unlikely to be relevant for an LCE. - Included (d) as Part 1 (paragraph 1.8.7 of ED-ISA for LCE) does not describe fraud involving both 'group management' and 'component management'.

³² ISA 260 (Revised), *Communication with Those Charged with Governance*

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
<i>Communication of Identified Deficiencies in Internal Control</i>					
58	In applying ISA 265, ³³ the group auditor shall determine whether any identified deficiencies in the group's system of internal control are required to be communicated to those charged with governance of the group or group management. In making this determination, the group auditor shall consider deficiencies in internal control that have been identified by component auditors and communicated to the group auditor in accordance with paragraph 45(g). (Ref: Para. A165)	Yes	No	-	Requirement addressed in Part 7 (paragraph 7.6.1 of ED-ISA for LCE).
Documentation					
59	In accordance with ISA 230,³⁴ the audit documentation for a group audit engagement needs to be sufficient to enable an experienced auditor, having no previous connection with the audit, to understand the nature, timing and extent of audit procedures performed, the evidence obtained, and the conclusions reached with respect to significant matters arising during the group audit. In applying ISA 230,³⁵ the group auditor shall include in the audit documentation: (Ref: Para. A166–A169, A179–A182) (a) Significant matters related to restrictions on access to people or information within the group that were considered before deciding to accept or continue the engagement, or that arose subsequent to acceptance or continuance, and how such matters were addressed.	Yes	Yes	10.9.1.	A number of these matters are unlikely to be need incremental documentation (i.e., above general documentation requirements) when documenting an LCE audit – see proposed revisions at Agenda Item 5-D including: Restrictions on access to people or information are an indicator of complexity

³³ ISA 265, *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management*

³⁴ ISA 230, paragraph 8

³⁵ ISA 230, paragraphs 1–3, 9–11, A6–A7 and Appendix

Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
	(b) The basis for the group auditor's determination of components for purposes of planning and performing the group audit. (Ref: Para. A170) (c) The basis for the determination of component performance materiality, and the threshold for communicating misstatements in the component financial information to the group auditor. (d) The basis for the group auditor's determination that component auditors have the appropriate competence and capabilities, including sufficient time, to perform the assigned audit procedures at the components. (Ref: Para. A171) (e) Key elements of the understanding of the group's system of internal control in accordance with paragraph 30(c); (f) The nature, timing and extent of the group auditor's direction and supervision of component auditors and the review of their work, including, as applicable, the group auditor's review of additional component auditor audit documentation in accordance with paragraph 47. (Ref: Para. A172–A178) (g) Matters related to communications with component auditors, including: (i) Matters, if any, related to fraud, related parties or going concern communicated in accordance with paragraph 32. (ii) Matters relevant to the group auditor's conclusion with regard to the group audit, in accordance with paragraph 45, including how the group auditor has addressed significant matters discussed with				therefore (a) not included. • (e) addressed in Part 6 (paragraph 6.8.1 of ED-ISA for LCE). • The granularity of the sub bullets for (g) deemed not necessary therefore streamlined (would be included as part of general matters communicated). Notwithstanding the above proposals, the Task Force intend to revisit the approach to general and specific documentation requirements in the ISA for LCE (i.e., across all Parts) based on comments from respondents, which may result in further proposed changes for consistency.

Audits of Less Complex Entities – Evaluation of Requirements in ISA 600 (Revised)
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Para.	Requirement	Relevant for LCE	Include in Part	Paragraph in Agenda Item 5-D	Notes
	component auditors, component management or group management. (h) The group auditor's evaluation of, and response to, findings or conclusions of the component auditors about matters that could have a material effect on the group financial statements.				